Imóveis Portugal

What it really costs to buy in Portugal

Taxes, mortgages and steps, with the official source for every number

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What you will know by the end

- Which taxes you pay on purchase in 2026 and how the transfer tax (IMT) is calculated.
- Why buyers who are not Portuguese tax residents now pay 7.5% IMT, and the exceptions.
- What a 250,000 € and a 400,000 € home cost in taxes.
- How much Banco de Portugal lets banks lend.
- The steps for buying from abroad and the yearly taxes.
- If you live in Luxembourg: what changes for you.

This guide describes the rules; it is not advice. For your own case, talk to a professional.

Partner of this guide

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If you live in Luxembourg

- Tax representative: as you live in an EU member state, appointing a tax representative in Portugal is optional.
- IMT: if you are not a Portuguese tax resident, you pay the flat 7.5%, unless one of the exceptions in section 2 applies. If you were once a Portuguese tax resident, read exception (a) and check your case with a professional.
- Rent in Portugal: residential rent earned by non-residents is taxed at 25% in Portugal, with reductions for long leases.
- Rent in Luxembourg: the Portugal–Luxembourg tax treaty gives Portugal the right to tax income from property located in Portugal. Luxembourg exempts that income but may take it into account to set the rate on the rest of your income.

Not covered here: the filing rules of the country where you live depend on your situation. Talk to a tax adviser.

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1. IMT: the purchase tax

The property transfer tax (IMT) is paid before the deed, on the day it is assessed or within the following 30 days. The 2026 rates depend on how the home is used. The value is split in two: up to the previous bracket limit at that bracket's average rate; the rest at the marginal rate.

Owner-occupied main home (residents)

Value up to	Marginal rate	Average rate at the limit
106,346 €	0%	0%
145,470 €	2%	0.5379%
198,347 €	5%	1.7274%
330,539 €	7%	3.8361%
Up to 660,982 €	8%	–

Other home, such as a holiday home (residents)

Value up to	Marginal rate	Average rate at the limit
106,346 €	1%	1%
145,470 €	2%	1.2689%
198,347 €	5%	2.2636%
330,539 €	7%	4.1578%
Up to 633,931 €	8%	–

Above: 6% (flat) up to 1,150,853 €, 7.5% above

2. Non-residents: a flat 7.5%

Since May 2026 (Decree-Law 97/2026), buyers who are not Portuguese tax residents pay IMT at a flat 7.5% on homes, with no exemption or reduction. The rate does not apply when the buyer:

a. has been considered a Portuguese tax resident;

b. becomes a Portuguese tax resident within two years of the purchase;

c. rents the home out as a residence within six months, at a rent within the decree's caps, for at least 36 months in the first five years.

In the last two cases you pay 7.5% first and claim back the difference within six months. How the first exception applies to people who were once residents and emigrated is a question for a lawyer or tax adviser.

3. Stamp duty

- On purchase: 0.8% of the value.
- With a loan of five years or more: 0.6% of the amount borrowed.
- On the interest charged by the bank: 4%.

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4. Worked examples

Purchase taxes, rounded to the euro, using the 2026 tables. Excludes the deed, registration, legal fees, currency exchange and mortgage costs.

Home at 250,000 €

	Resident, main home	Resident, other home	Non-resident
IMT	7,042 €	8,105 €	18,750 €
Stamp duty (0.8%)	2,000 €	2,000 €	2,000 €
Total	**9,042 €**	**10,105 €**	**20,750 €**

Home at 400,000 €

	Resident, main home	Resident, other home	Non-resident
IMT	18,237 €	19,300 €	30,000 €
Stamp duty (0.8%)	3,200 €	3,200 €	3,200 €
Total	**21,437 €**	**22,500 €**	**33,200 €**

5. Mortgages: Banco de Portugal's rules

- Amount: up to 90% of the value for an owner-occupied main home; up to 80% for other purposes. The lower of price and appraisal counts.
- Payments: all loan payments together should not exceed 45% of net income (each bank may exceed this for up to 10% of its lending per year).
- Term: up to 40 years for borrowers aged up to 35; up to 35 years from that age.

Example: a 200,000 € loan pays 1,200 € in stamp duty at signing.

Rules applying since 1 August 2026.

7. Every year

- IMI: 0.3% to 0.45% of the property's tax value, at the rate set by the municipality.
- AIMI: only on total tax values above 600,000 € per person.
- Renting: residential rent earned by non-residents is taxed at 25% in Portugal, with reductions for long leases.
- Short-term rental (alojamento local): needs registration; the municipality can object within 60 days, or 90 in containment areas.

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6. The steps, from abroad

1. NIF: the tax number can be requested online through a legal representative, or in person. No tax representative is needed to get it.
2. Power of attorney: sign it at a Portuguese consulate or before a notary where you live; in that case it needs a Hague Apostille.
3. Promissory contract (CPCV): it fixes the price, date and deposit. If the buyer defaults through their own fault, they lose the deposit; if the seller does, the buyer can claim double (Civil Code, art. 442).
4. Origin of funds: banks, notaries and lawyers must obtain information on the origin of funds when the transaction calls for it (Law 83/2017).
5. Deed and registration: costs depend on the service chosen.
6. After the purchase: residents outside the EU have 15 days to appoint a tax representative or sign up for the tax authority's electronic notifications; inside the EU it is optional.

8. Checklist

- [ ] I have a NIF
- [ ] I know whether I will become a tax resident within two years
- [ ] I have quotes for the deed, registration and fees
- [ ] I asked the bank for a simulation with the appraisal
- [ ] I have proof of where the money comes from
- [ ] I had the promissory contract reviewed
- [ ] I have a power of attorney with Apostille or a consulate appointment
- [ ] I appointed a tax representative or joined electronic notifications (15 days)

9. Glossary

IMT	Tax paid when buying property.
IMI	Yearly municipal property tax.
AIMI	Additional IMI on high property values.
NIF	Portuguese tax number.
CPCV	Promissory purchase contract.
Sinal	Deposit paid on the promissory contract.
Escritura	The deed that transfers ownership.
VPT	Property tax value, the basis for IMI.

Need advice for your case?

We pass your request to a partner lawyer, bank, tax adviser or money transfer service: imoveisportugal → Talk to a partner.

Sources

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